Sucheta Dalal, in her biography of Shroff, observes: ‘Shroff was considered dangerously close to Sir Osborne whose sympathy for the Indian cause was one of the many sources of discomfort to the British government. His correspondence with Smith in 1934 testifies to their close association as well as to Smith’s enormous sympathy for India’s struggle for independence.’[19] In a letter to Shroff in August 1936, Smith wrote: ‘I go so far as to say that my understanding and sympathy with Indian nature and Indian objectives makes me a suspect with one way bullying tragic minds like Grigg’s.’[20] Smith wanted Shroff to replace Sir Sikander (who had expressed a desire to return to active politics) as Deputy Governor and suggested his name when he was away on his second trip to London. Predictably, Shroff’s name found no favour given his frank views and political leanings. He was seen as a Congress economist. Earlier in July 1936, he had written to Shroff: ‘Frankly it is difficult. As you know I am utterly fed up and do not want to continue. I do not consider I get loyal support or cooperation.’[21] The reference here is clearly to Taylor whom Smith distrusted and later would accuse of intriguing with Grigg and allowing him to interfere with the workings of the bank.

In a letter to Purshotamdas, Smith wrote: ‘I am sick to death of always attempted domination of the Bank and today I told Taylor in very plain language what I thought of his continual intrigue with Grigg. I learnt that no soon as I am well out of the way he has arranged to visit Grigg and not a word to me, mind you…I also told Taylor that he was Government from first to last and this is unfortunately true. It is a tragedy and when I go, which will be very shortly, the Bank will, if Taylor is Governor, be merely a department of Government. Taylor writes and receives many letters from Grigg and I am not even told.’[22]

Smith also appears to have been greatly annoyed at Taylor not calling him Sir Osborne or Governor. In a letter to Taylor he wrote: ‘There is one matter I must talk to you about and it had better be sooner than later. It is the habit you have of officially calling me ‘Smith’ both in speech and correspondence even to subordinates. In London too in our official discussion with M Norman you never in a single instance paid me the courtesy of giving me my title (either Sir Osborne or Governor) and I knew this rankled with M Norman who has never despite our years of close friendship, spoken to me officially without giving me a title.’[23] Taylor